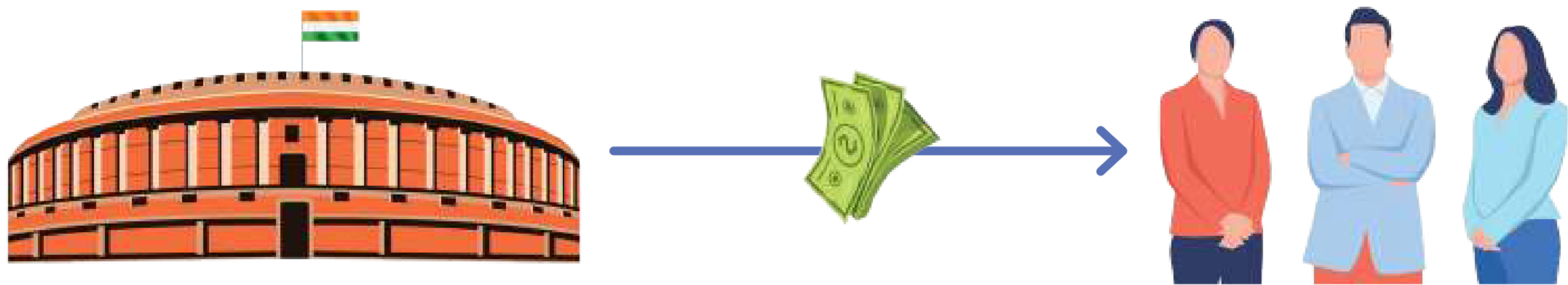


Income Tax

Income tax is a direct tax imposed by the government on the income of individuals. In India, income tax is calculated for a financial year from April to March.



Any individual who earns more than the non taxable limit in a financial year must pay taxes and file an income tax return. In 2023, there are two types of tax regimes for the calculation of taxes.

Income Tax slabs under the old and new tax regime

Old Tax Regime		New Tax Regime (Revised)	
Income (Rs.)	Tax Rate	Income (Rs.)	Tax Rate
Upto 2.5 lakh	Nil	Upto 3 lakh	Nil
2.5 to 5 lakh	5%	3 to 6 lakh	5%
5 to 10 lakh	20%	6 to 9 lakh	10%
Above 10 lakh	30%	9 to 12 lakh	15%
		12 to 15 lakh	20%
		Above 15 lakh	30%

Old Tax Regime

Gross Income
(-) Deductions and Exemptions

Net Taxable Income

In the old tax regime, the government provides over 70 exemptions and deductions. The exemptions reduce the total taxable income of the individual.

The income tax calculation is tedious with so many permutations and combinations. Hence, the Indian government has introduced a new tax regime to simplify it.